

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

**COMPLAINANTS' MOTION TO EXTEND THE DEADLINE FOR THE
COMMISSION'S ISSUANCE OF A FINAL DECISION**

Complainants CROCUS INVESTMENTS, LLC and CROCUS, FZE ("Complainants"), by and through their attorney Marcus A. Nussbaum, Esq., hereby move for an Order pursuant to Rules 25(4), 69, 71, 102 and 105 of the Commission's Rules of Practice and Procedure, 46 C.F.R. §§ 502.24(4), 502.69, 502.71, 502.102 and 502.105, to extend the deadline for the Commission's issuance of a Final Decision to the Exceptions to the Presiding Officer's Initial Decision and Complainants' Second Petition to Reopen the Proceedings. For the reasons set forth herein, complainants seek to extend the current deadline of February 6, 2018 by sixty (60) days.

On January 31, 2018, counsel for complainants consulted with counsel for respondents regarding this motion, who have advised on February 1, 2018 that they have not consented to the extension. Good cause exists to grant this motion for reasons that follow:

RELEVANT PROCEDURAL HISTORY

1. On June 17, 2016, the Presiding Officer issued the Initial Decision in this matter (the "Initial Decision") and dismissed the Complaint.
2. On October 28, 2016 and prior to the due date for filing Exceptions to the Initial Decision, complainants filed a Petition to Reopen the Proceedings for Purposes of Taking Further

Evidence.

3. On March 6, 2017, the Commission issued an Order Denying Complainants Petition to Reopen the Proceedings, pursuant to which complainants were ordered to file their Exceptions on or before March 13, 2017.

4. On March 13, 2017, complainants filed their Exceptions to the Initial Decision.

5. On April 6, 2017, the Commission *sua sponte* extended its own deadline for the issuance of a Final Decision to October 6, 2017.

6. On September 27, 2017, complainants filed a Second Petition to Reopen the Proceedings and First Request that the Commission Designate the Bureau of Enforcement as a Party to These Proceedings.

7. On October 4, 2017, the Commission *sua sponte* extended its own deadline for the issuance of a Final Decision to February 6, 2018.

ARGUMENT

Good Cause Exists for the Commission to Extend its Own Deadline for the Issuance of a Final Decision

8. As explained in complainants' Second Petition to reopen the Proceedings, there is currently an ongoing Federal litigation involving the parties herein in the U.S. Court for the District of New Jersey, captioned as World Express & Connection, Inc. v. Crocus Investments, LLC et al. U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126- KM-MAH, wherein the respondents are named as third-party defendants. In the matter of World Express, *supra*, the undersigned represents complainants herein, Crocus Investments, LLC and Crocus, FZE (collectively, "Crocus") who are named defendants/third-party plaintiffs.

9. On January 31, 2018, the undersigned and *pro hac vice* counsel for Crocus took the deposition of third-party defendant therein, VADIM ALPER a/k/a DIMITRY ALPER who was the former General Counsel and Director of Operations of respondent herein, Marine Transport Logistic,

Inc., (“MTL”). Mr. Alper acted in those roles during the relevant time period where the events which resulted in the instant action are alleged to have occurred. It is noted that respondents’ counsel herein, and who are counsel for plaintiff and third-party defendants in World Express, *supra*, did not attend the deposition.

10. During the course of his deposition, Mr. Alper gave testimony based upon his personal knowledge regarding respondents herein, Aleksandr Solovyev a/k/a Royal Finance Group Inc., and disclosed information previously in the sole custody and control of respondents and which was withheld by respondents during the course of the proceedings herein. Said information further constitutes new evidence which is material to the Initial Decision, and which will impact the Commission’s issuance of a Final Decision in this matter.

11. Among other things, Mr. Alper’s testimony included information regarding the involving the very same cargo at issue in this action, to wit: complainants’ 2008 Chaparral boat (the “Chaparral”); 2011 Monterey 204 boat (the “Monterey”); and 2010 Formula 34PC boat (the “Formula”).

12. Specifically, Mr. Alper gave testimony which is material to the Presiding Officer’s determination in the Initial Decision that: (a) respondents Solovyev and Royal Finance Group (“RFG”) allegedly did not act as an Ocean Transportation Intermediary (“OTI”) without a license; and (b) that no Shipping Act violations allegedly occurred with respect to respondents’ transport of the Monterey and Chaparral from the United States to Dubai.

13. With respect to the above, Mr. Alper gave testimony authenticating the Vessel Bills of Sale pursuant to which MTL sold the Monterey and Chaparral to complainants, for the sole purpose of exporting said boats abroad. The Vessel Bills of Sale also establish a regular course of business wherein complainants purchased boats from MTL for the sole purpose of export abroad. Mr. Alper testified that he notarized said Vessel Bills of Sale, the authenticity of which has been denied by respondents herein, and which were signed by respondent Solovyev as “General Manager” of MTL

(the Commission may be aware that the President of MTL has denied allegations that Solovyev was an officer or employee of MTL). Said Vessel Bills of Sale were included within the Appendix to complainants Exceptions and establish that respondent, Solovyev represented himself to be “General Manager” of MTL which sold the boats to complainants.

14. Additionally, it is undisputed that Solovyev then directed complainants to make payment to respondent RFG, which as explained in complainants’ Second Petition to Reopen the Proceedings, issued invoices and collected monies for ocean freight, costs of the boats and other services. Contrary to the Presiding Officer’s finding of fact that Solovyev, through his company Car Express & Import Inc. had acted as “agent of MTL” when he directed complainants to pay RFG’s invoices, for the reasons set forth above, Solovyev was acting as “General Manager” of MTL and not “agent”. Accordingly, RFG (owned personally by Solovyev) was indeed acting as an OTI without a license when it was collecting monies for ocean freight and other services, in violation of the Shipping Act. Complainants’ Exceptions and Second Petition to Reopen the Proceedings further explain that RFG issued inflated invoices and overcharged complainants for OTI services which it did not provide.

15. During the course of his deposition, Mr. Alper additionally offered testimony regarding MTL’s practice (specifically that of Solovyev and RFG) of collecting monies from complainants for ocean freight for commodities which respondents then shipped, without identifying said commodities to the ocean liner. It is respectfully submitted that this may be an issue for the Bureau of Enforcement inasmuch as MTL failed to identify the contents of the cargo containers to the Ocean Liner (to wit: Maersk) which exported complainants’ cargo. This could also allow MTL to avoid paying ocean freight to the ocean liner for the shipment of the boat trailers as explained below.

16. Specifically, Mr. Alper testified regarding the shipment of the Monterey and Chaparral to Dubai and cross referenced the RFG invoices for this shipment against the Maersk Ocean Liner Bill of Lading. He offered testimony regarding MTL’s failure to identify to Maersk the boat trailers which were contained within the cargo containers and on which the Monterey and Chaparral were

stored during shipment (and for which RFG invoiced complainants for ocean freight for trailers). - - This may be an issue for the Bureau of Enforcement. It is undisputed that RFG charged complainants herein for ocean freight which included shipment of the boat trailers.

17. Ultimately, and after receipt and review of Mr. Alper's deposition transcript, complainants intend to present this and other information in detail to the Commission for consideration prior to the issuance of a Final Decision and in a manner in which the Commission deems suitable in light of the current procedural posture of this matter.

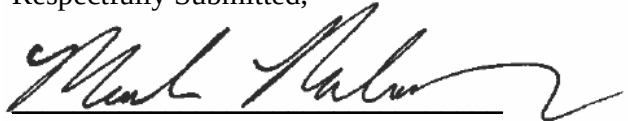
18. The extension of time would further avoid unnecessary burden upon the Commission by avoiding the need for further motion practice subsequent to the issuance of a Final Decision in this matter, and would confirm that a Final Decision is based upon a full and complete record which includes new and material facts which have only recently come to light, previously in the sole custody and control of respondents and which was withheld by respondents during the course of the proceedings herein.

19. In light of the foregoing, it is respectfully submitted that an extension of time is necessary.

WHEREFORE, Complainants respectfully request that the Commission extend the deadline for the Commission's issuance of a Final Decision to the Exceptions to the Presiding Officer's Initial Decision and Complainants' Second Petition to Reopen the Proceedings. For the reasons set forth herein, complainants seek to extend the current deadline of February 6, 2018 by sixty (60) days.

Dated: February 1, 2018
Brooklyn, NY

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', with a long, sweeping horizontal line extending to the right.

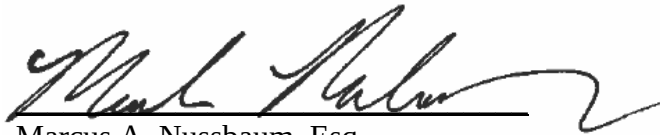
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Attorney for Complainants

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' MOTION TO EXTEND THE DEADLINE FOR THE COMMISSION'S ISSUANCE OF A FINAL DECISION** upon Respondents' Counsel at the following address:

Montgomery, McCracken, Walker & Rhoads, LLP
437 Madison Ave., 29th Floor
New York, NY 10022
Attn: Stephen H. Vengrow, Esq.
Attn: Eric Chang, Esq.

by first class mail, postage prepaid, and by email (echang@mmwr.com and svengrow@mmwr.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", is written over a horizontal line.

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marcus.nussbaum@gmail.com

Dated: February 1, 2018 in Brooklyn, New York.